EDUCATION BEAST

Rahul Sir

Class XII — Economics

Macroeconomics · Foreign Exchange Rate

Duration: 1 Hour **Maximum Marks: 50**

General Instructions:

- This paper has 50 multiple choice questions of 1 mark each. All questions are compulsory.
- Choose the most appropriate option. There is no negative marking.

SECTION A — Level: Easy — Q.1–10 · 1 mark each

1. Foreign exchange rate refers to:
(a) the price of gold in terms of the domestic currency
(b) the price of one unit of a foreign currency in terms of the domestic currency
(c) the ratio of a country's exports to its imports
(d) the rate of interest charged on foreign loans

2. Under the flexible exchange rate system, the exchange rate is determined by:
(a) the central bank alone
(b) the market forces of demand for and supply of foreign exchange
(c) the government of the country
(d) the World Bank

3. Under the fixed exchange rate system, the exchange rate is officially fixed by:
(a) the commercial banks
(b) the market forces of demand and supply
(c) the government / central bank
(d) the exporters of the country

4. Which of the following is a source of **demand** for foreign exchange?
(a) Import of goods and services from abroad
(b) Export of goods to other countries
(c) Foreign tourists visiting India
(d) Remittances received from Indians working abroad

5. Which of the following is a source of **supply** of foreign exchange?
(a) Import of machinery from abroad
(b) Export of goods and services
(c) Indian students paying fees to foreign universities
(d) Indians buying shares of foreign companies

6. A fall in the value of the domestic currency in terms of a foreign currency under the flexible exchange rate system is called:
(a) depreciation
(b) appreciation
(c) devaluation
(d) revaluation

7. A deliberate reduction in the value of the domestic currency by the government under the fixed exchange rate system is called:
(a) appreciation
(b) depreciation
(c) devaluation
(d) revaluation

8. A rise in the value of the domestic currency in terms of a foreign currency under the flexible exchange rate system is called:
(a) devaluation
(b) revaluation
(c) appreciation
(d) depreciation

9. The demand curve for foreign exchange is:
(a) a horizontal straight line
(b) downward sloping from left to right
(c) upward sloping from left to right
(d) a vertical straight line

10. The exchange rate system in which the rate is mainly determined by the market, but the central bank intervenes to limit sharp fluctuations, is called the:
(a) managed floating exchange rate system
(b) purely flexible exchange rate system
(c) system of zero foreign trade
(d) fixed exchange rate system

SECTION B — Level: Medium — Q.11–40 · 1 mark each

11. In a flexible exchange rate system, the exchange rate changes from ₹80 per $ to ₹84 per $. This means the rupee has:
(a) appreciated
(b) been revalued
(c) been devalued
(d) depreciated

12. In a flexible exchange rate system, the exchange rate changes from ₹84 per $ to ₹80 per $. This means the rupee has:
(a) appreciated
(b) depreciated
(c) been revalued
(d) been devalued

13. The supply curve of foreign exchange slopes upward because a rise in the exchange rate:
(a) reduces foreign investment in the country
(b) makes domestic goods costlier for foreigners
(c) makes imports cheaper for domestic buyers
(d) makes domestic goods cheaper for foreigners, so exports increase

14. The demand curve for foreign exchange slopes downward because a rise in the exchange rate:
(a) makes domestic goods costlier for foreigners
(b) makes imports cheaper, so the demand for foreign exchange rises
(c) makes imports costlier, so the demand for foreign exchange falls
(d) makes exports costlier for foreigners

15. In a flexible exchange rate system, the equilibrium exchange rate is determined at the point where:
(a) demand for foreign exchange is more than its supply
(b) demand for foreign exchange equals supply of foreign exchange
(c) the government announces the rate
(d) exports of the country become zero

16. If the exchange rate is **above** the equilibrium rate in a free market, there will be:
(a) excess supply of foreign exchange, and the rate will rise
(b) excess demand for foreign exchange, and the rate will rise
(c) excess supply of foreign exchange, and the rate will fall
(d) no change in the rate

17. If the exchange rate is **below** the equilibrium rate in a free market, there will be:
(a) excess demand for foreign exchange, and the rate will fall
(b) excess supply of foreign exchange, and the rate will fall
(c) excess supply of foreign exchange, and the rate will rise
(d) excess demand for foreign exchange, and the rate will rise

18. Depreciation of the domestic currency is likely to make the country's exports:
(a) cheaper for foreigners, so exports decrease
(b) costlier for foreigners, so exports decrease
(c) unaffected
(d) cheaper for foreigners, so exports increase

19. Depreciation of the domestic currency is likely to make imports:
(a) unaffected
(b) costlier in domestic currency, so imports increase
(c) cheaper in domestic currency, so imports increase
(d) costlier in domestic currency, so imports decrease

20. Appreciation of the domestic currency is likely to:
(a) increase exports and reduce imports
(b) have no effect on exports and imports
(c) reduce exports and increase imports
(d) increase both exports and imports

21. In a flexible exchange rate system, if the demand for foreign exchange increases while its supply remains unchanged, the exchange rate will:
(a) remain unchanged
(b) fall, i.e. the domestic currency will appreciate
(c) rise, i.e. the domestic currency will depreciate
(d) fall, i.e. the domestic currency will depreciate

22. In a flexible exchange rate system, if the supply of foreign exchange increases while its demand remains unchanged, the exchange rate will:
(a) rise, i.e. the domestic currency will depreciate
(b) remain unchanged
(c) fall, i.e. the domestic currency will appreciate
(d) rise, i.e. the domestic currency will appreciate

23. Which of the following will shift the **demand** curve for foreign exchange to the right?
(a) Increase in foreign tourists visiting the country
(b) Increase in foreign investment in the country
(c) Rise in domestic residents' preference for foreign goods
(d) Rise in the country's exports

24. Which of the following will shift the **supply** curve of foreign exchange to the right?
(a) Indians investing more in foreign countries
(b) Increase in foreign investment in India
(c) More Indians travelling abroad
(d) Increase in India's imports

25. A deliberate increase in the value of the domestic currency by the government under the fixed exchange rate system is called:
(a) appreciation
(b) revaluation
(c) depreciation
(d) devaluation

26. Which of the following is a **merit** of the flexible exchange rate system?
(a) It requires constant government intervention
(b) The exchange rate never changes
(c) It ensures complete stability of the exchange rate
(d) The government need not maintain large foreign exchange reserves

27. Which of the following is a **merit** of the fixed exchange rate system?
(a) It does not require any foreign exchange reserves
(b) It adjusts automatically to market conditions
(c) It is completely free from government control
(d) It brings stability in the exchange rate, which encourages international trade

28. Which of the following is a **demerit** of the fixed exchange rate system?
(a) It requires the central bank to maintain large foreign exchange reserves
(b) It removes the role of the government
(c) It is determined only by market forces
(d) The exchange rate fluctuates every day

29. Which of the following is a **demerit** of the flexible exchange rate system?
(a) It requires large foreign exchange reserves
(b) Frequent fluctuations in the exchange rate create uncertainty in international trade
(c) The government must fix the rate every day
(d) The exchange rate is rigid and cannot change

30. Under the managed floating system, if the domestic currency is depreciating sharply, the central bank will usually:
(a) stop all imports
(b) sell foreign currency from its reserves
(c) fix the exchange rate permanently
(d) buy foreign currency from the market

31. Under the managed floating system, to prevent a sharp appreciation of the domestic currency, the central bank will usually:
(a) ban all exports
(b) allow the rate to move freely without any action
(c) sell foreign currency from its reserves
(d) buy foreign currency from the market

32. An Indian student paying tuition fees to a university in the UK creates:
(a) supply of foreign exchange
(b) demand for foreign exchange
(c) neither demand for nor supply of foreign exchange
(d) appreciation of the rupee

33. A US company setting up a factory in India leads to:
(a) demand for foreign exchange in India
(b) devaluation of the rupee
(c) no effect on the foreign exchange market
(d) supply of foreign exchange in India

34. Money sent home by Indians working in Gulf countries is a source of:
(a) demand for foreign exchange
(b) devaluation of the rupee
(c) import of services
(d) supply of foreign exchange

35. An Indian company repaying a loan taken from a foreign bank creates:
(a) demand for foreign exchange
(b) no effect on the foreign exchange market
(c) supply of foreign exchange
(d) appreciation of the rupee

36. For India, 'foreign exchange' refers to:
(a) gold reserves of the RBI only
(b) Indian rupees held by foreigners
(c) all currencies other than the Indian rupee
(d) only the US dollar

37. In a flexible exchange rate system, if India's exports to the USA rise sharply (other things remaining the same), the rupee will:
(a) appreciate
(b) be devalued
(c) remain unchanged
(d) depreciate

38. In a flexible exchange rate system, if Indians increase their imports of gold (other things remaining the same), the rupee will:
(a) be revalued
(b) remain unchanged
(c) depreciate
(d) appreciate

39. The managed floating exchange rate system is a mix of:
(a) fixed and flexible exchange rate systems
(b) two different fixed exchange rate systems
(c) fixed exchange rate and barter systems
(d) devaluation and revaluation only

40. Under the fixed exchange rate system, if there is excess demand for foreign currency at the fixed rate, the central bank will:
(a) sell foreign currency from its reserves to keep the rate unchanged
(b) buy foreign currency to raise the rate
(c) let the rate rise freely
(d) do nothing, as the rate adjusts automatically

SECTION C — Level: Hard — Q.41–50 · 1 mark each

41. In a flexible exchange rate system, the exchange rate changes from ₹80 per $ to ₹88 per $. By what percentage has the price of one dollar in rupees risen?
(a) 9.09%
(b) 10%
(c) 8%
(d) 12%

42. An Indian shirt is priced at ₹2,400. If the exchange rate changes from ₹80 per $ to ₹96 per $, the price of the shirt for a US buyer changes from:
(a) $25 to $30
(b) $30 to $25
(c) $30 to $30 (no change)
(d) $30 to $36

43. A machine from the USA costs $500. If the exchange rate changes from ₹80 per $ to ₹84 per $, the cost of the machine for an Indian buyer becomes:
(a) ₹40,000 (no change)
(b) ₹42,000 (up from ₹40,000)
(c) ₹38,000 (down from ₹40,000)
(d) ₹44,000 (up from ₹40,000)

44. **Assertion (A):** When the rupee depreciates, the demand for Indian exports tends to rise.
Reason (R): Depreciation makes Indian goods cheaper for foreign buyers.

(a) Both A and R are true, and R is the correct explanation of A. (b) Both A and R are true, but R is not the correct explanation of A. (c) A is true, but R is false. (d) A is false, but R is true.

45. **Assertion (A):** Under the flexible exchange rate system, the government needs to maintain huge foreign exchange reserves.
Reason (R): Under the flexible exchange rate system, the exchange rate is determined by market forces.

(a) Both A and R are true, and R is the correct explanation of A. (b) Both A and R are true, but R is not the correct explanation of A. (c) A is true, but R is false. (d) A is false, but R is true.

46. **Assertion (A):** The supply curve of foreign exchange slopes upward.
Reason (R): A rise in the exchange rate makes imports cheaper for domestic buyers.

(a) Both A and R are true, and R is the correct explanation of A. (b) Both A and R are true, but R is not the correct explanation of A. (c) A is true, but R is false. (d) A is false, but R is true.

47. Consider the statements:
I. Devaluation takes place under the fixed exchange rate system.
II. Depreciation is a deliberate decision taken by the government.
Which of the statements is/are correct?

(a) Only I
(b) Only II
(c) Both I and II
(d) Neither I nor II

48. In a flexible exchange rate system, if both the demand for and the supply of foreign exchange increase by the same amount, then:
(a) the exchange rate remains the same, but the quantity of foreign exchange rises
(b) the exchange rate rises, but the quantity remains the same
(c) the exchange rate falls and the quantity falls
(d) both the exchange rate and the quantity remain unchanged

49. Under managed floating, if the RBI buys US dollars in the foreign exchange market (other things remaining the same), it will:
(a) increase the demand for dollars and tend to depreciate the rupee
(b) decrease the demand for dollars and tend to appreciate the rupee
(c) increase the supply of dollars and tend to appreciate the rupee
(d) have no effect on the exchange rate

50. In a flexible exchange rate system, which of the following combinations will lead to an **appreciation** of the rupee?
(a) A rise in Indians travelling abroad and a fall in foreign investment in India
(b) A rise in India's imports and a fall in India's exports
(c) A fall in remittances to India and a rise in imports of gold
(d) A rise in foreign tourists coming to India and a fall in India's imports

— END OF QUESTION PAPER —

EDUCATION BEAST

Rahul Sir

Class XII — Economics

Macroeconomics · Foreign Exchange Rate

ANSWER KEY

Answer Key — 50 MCQs **1 mark each · Total 50**

Q1 **b**	Q2 **b**	Q3 **c**	Q4 **a**	Q5 **b**	Q6 **a**	Q7 **c**	Q8 **c**	Q9 **b**	Q10 **a**
Q11 **d**	Q12 **a**	Q13 **d**	Q14 **c**	Q15 **b**	Q16 **c**	Q17 **d**	Q18 **d**	Q19 **d**	Q20 **c**
Q21 **c**	Q22 **c**	Q23 **c**	Q24 **b**	Q25 **b**	Q26 **d**	Q27 **d**	Q28 **a**	Q29 **b**	Q30 **b**
Q31 **d**	Q32 **b**	Q33 **d**	Q34 **d**	Q35 **a**	Q36 **c**	Q37 **a**	Q38 **c**	Q39 **a**	Q40 **a**
Q41 **b**	Q42 **b**	Q43 **b**	Q44 **a**	Q45 **d**	Q46 **c**	Q47 **a**	Q48 **a**	Q49 **a**	Q50 **d**

Q	Ans	Correct option
1	(b)	the price of one unit of a foreign currency in terms of the domestic currency
2	(b)	the market forces of demand for and supply of foreign exchange
3	(c)	the government / central bank
4	(a)	Import of goods and services from abroad
5	(b)	Export of goods and services
6	(a)	depreciation
7	(c)	devaluation
8	(c)	appreciation
9	(b)	downward sloping from left to right
10	(a)	managed floating exchange rate system
11	(d)	depreciated
12	(a)	appreciated
13	(d)	makes domestic goods cheaper for foreigners, so exports increase
14	(c)	makes imports costlier, so the demand for foreign exchange falls
15	(b)	demand for foreign exchange equals supply of foreign exchange
16	(c)	excess supply of foreign exchange, and the rate will fall
17	(d)	excess demand for foreign exchange, and the rate will rise
18	(d)	cheaper for foreigners, so exports increase
19	(d)	costlier in domestic currency, so imports decrease
20	(c)	reduce exports and increase imports
21	(c)	rise, i.e. the domestic currency will depreciate
22	(c)	fall, i.e. the domestic currency will appreciate
23	(c)	Rise in domestic residents' preference for foreign goods
24	(b)	Increase in foreign investment in India
25	(b)	revaluation

Q	Ans	Correct option
26	(d)	The government need not maintain large foreign exchange reserves
27	(d)	It brings stability in the exchange rate, which encourages international trade
28	(a)	It requires the central bank to maintain large foreign exchange reserves
29	(b)	Frequent fluctuations in the exchange rate create uncertainty in international trade
30	(b)	sell foreign currency from its reserves
31	(d)	buy foreign currency from the market
32	(b)	demand for foreign exchange
33	(d)	supply of foreign exchange in India
34	(d)	supply of foreign exchange
35	(a)	demand for foreign exchange
36	(c)	all currencies other than the Indian rupee
37	(a)	appreciate
38	(c)	depreciate
39	(a)	fixed and flexible exchange rate systems
40	(a)	sell foreign currency from its reserves to keep the rate unchanged
41	(b)	10%
42	(b)	$30 to $25
43	(b)	₹42,000 (up from ₹40,000)
44	(a)	Both A and R are true, and R is the correct explanation of A
45	(d)	A is false, but R is true
46	(c)	A is true, but R is false
47	(a)	Only I
48	(a)	the exchange rate remains the same, but the quantity of foreign exchange rises
49	(a)	increase the demand for dollars and tend to depreciate the rupee
50	(d)	A rise in foreign tourists coming to India and a fall in India's imports

— END OF ANSWER KEY —